

Kot Addu Power Company Limited

December 12, 2023

KAPCO Severance Scheme (2023)

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Background: The Company's Power Purchase Agreement dated June 27, 1996 (as amended, from time to time) ("**PPA**") expired on October 24, 2022. Prior to, and since the expiry of the PPA, the Company has been engaged with the relevant ministry, regulator and power purchaser for the renewal/extension of the PPA. To this end, tariff applications were submitted before the National Electric Power Regulatory Authority ("**NEPRA**"). On August 4, 2022, NEPRA issued a provisional tariff for a total capacity of 500 MW (in line with approved the Indicative Generation Capacity Expansion Plan (IGCEP) 2022-31) of Block 1 comprising GT-13, GT-14 & STG-15 and Block 2 comprising GT-1 & STG-9 on 'take and pay' basis. A public hearing of the main tariff petition was held on October 3, 2023. For clarity, a list of the Blocks and business units that do not form part of the 500 MW total capacity and are required to be closed is attached as **Annex A**.

You will appreciate that, unlike other companies, our Board of Directors has extended full support to the current human resource structure and benefits be maintained in an amicable and sustainable manner. The Board of Directors and Management equally appreciates your patience and continued support in these challenging times. Unfortunately, the situation vis-à-vis the Company's future operations and the present human resources is no longer sustainable. Thus, certain decisions have to be made in the best interest of the Company and its stakeholders (including Company employees); and so it has been decided to realign/right size the Company's human resource across all sections of the Company in accordance with the new indicative operating regime of the Company. As a first step in this direction, a selective voluntary severance scheme ("**Severance Scheme**") is offered to employees on the terms and conditions appearing hereunder.



Employees who wish to be considered for severance in accordance with the Severance Scheme should fill in the Registration for Severance Scheme Form ("**Registration Form**") attached as **Annex B** and submit the same with the Senior Manager HR&CS within the given timeline.

Terms and Conditions: The terms and conditions of the Severance Scheme are as follows:

1. Employees whose request for participation in the Severance Scheme is accepted by the Company will be entitled to twelve (12) monthly Gross Salaries (as defined in HR Manual) ("**Severance Entitlement**"). However, in case of employees whose remaining service is less than twelve (12) months, their Severance Entitlement will be equal to Gross Salaries for remaining service with the Company.
2. Employees to submit their completed Registration Form not later than 5.30 pm on January 02, 2024 ("**Registration Date**") under the Severance Scheme. The Company shall not accept any submission for Severance Entitlement after the expiry of the Registration Date; and the Severance Scheme shall stand withdrawn.
3. An employee who is on the Company's pension scheme may apply for the Severance Entitlement; and concurrently, such employee shall also apply for early retirement, subject to and in accordance with the Company's HR Manual.
4. An employee who is entitled to post-retirement medical and electricity benefits may also apply for lump-sum payment in lieu of these benefits.
5. An employee who is entitled to LPR/frozen leave shall also apply for encashment in accordance with the Company's HR Manual.
6. Once the completed Registration Form is submitted, it cannot be withdrawn.



7. The Company shall in its sole discretion accept or reject an employee's request for participation in the Severance Scheme.
8. The total amount due to an employee whose request for participation in the Severance Scheme is accepted will be payable on the date the employee leaves the Company ("**Severance Date**"). The Severance Date will be communicated by the Company in due course.
9. Payments under the Severance Scheme shall be subject to deduction of tax in accordance with the provisions of the law.
10. Any existing advance, loan or other pecuniary liability towards the Company that is outstanding against an employee whose request for participation in the Severance Scheme is accepted shall be deducted from the dues payable including the Severance Entitlement payable to such employee.
11. Submission by an employee of the completed Registration Form by the Registration Date shall constitute the employee's acknowledgment of having understood and accepted the terms and conditions stated herein and upon his acceptance of the Severance Entitlement his/her further acknowledgment that no further claim or claims of any nature whatsoever, including but not limited to claims for amounts due, are outstanding in his/her favour against the Company (except for monthly pension entitlements in case of early retired employees).
12. Employees residing in the Company's Housing Colony shall handover peaceful vacant possession of the allocated house/quarter within 60 days of the Severance Date. Fifty percent (50%) of the Severance Entitlement will be retained from the dues payable and paid at the time of vacating the house/quarter. For avoidance of doubt it is clarified that period allocated herein is for the benefit of the employee and during this period the



employee shall not be entitled to any financial or other pecuniary benefits from the Company and may be charged for the services as per Company Policies.

13. Notwithstanding anything to the contrary contained herein, the Severance Scheme shall not be applicable to employees against whom disciplinary proceedings have been initiated and/or are pending under the Company's Code of Conduct.

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Annex A and **Annex B**, respectively form an integral part hereof.

For and behalf of the Board of Directors


Aftab Mahmood Butt
Chief Executive

Annex A

List of the Blocks and business units that do not form part of the 500 MW total capacity and are required to be closed:

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• Block 1, CCR 1, STG 10
• Block-1 LCR GT-2
• Block 1, LCR GT 3-4
• Block 2, LCR GT 5-6
• Block 2, LCR GT 7-8
• Block 2, Control Room & Field Area
• Block 2, All Maintenance Sections
• Block-2 Water treatment area
• Block 2, Thermal Oil Heater
• Block 2, CCR 2, STG-11 & 12
• Block 3, Water Pre Treatment
• Water Intake M/gar Canal
• Elect Winding Workshop
• Mechanical Workshop
• Scaffolding / Rigging/Crane operation
• FOTP 1-4
• Fuel Operations, Aux Boiler 3-4

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Annex B**Registration for Severance Scheme Form**

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To: The Manager Human Resource, Kot Addu Power Company Limited

I, _____ son/wife/daughter of _____ do hereby request to be considered for severance in accordance with the terms and conditions of the Severance Scheme announced by the Company on _____. I shall be grateful if my request is considered favorably and I am permitted to leave the Company's employment upon payment to me of the package detailed in the Severance Scheme.

I hereby acknowledge that I have read and understood the terms and conditions of the Severance Scheme and agree to be bound by the same if my request for participation is accepted by the Company in its discretion.

Applicant

Signature _____

Name _____

Designation _____

PID No. _____

Dated _____

Witness 1

Signature _____

Name _____

PID No. _____

Witness 2

Signature _____

Name _____

PID No. _____

Date and Time of Receipt of Registration Document by Senior Manager HR&CS:

Date & Time _____

Senior Manager HR&CS _____